requirements for the development of the economy.'[9] The first inkling the bank got on the post-war currency arrangements in Europe was when Purshotamdas read about the conference of Finance Ministers of the Allied Governments in London in early March 1943, an event to which we have already alluded to above. On reading a short news item in the newspaper, Purshotamdas wrote to Deshmukh, who was exercising the powers of the Governor, that he presumed that the Bank of England or the Government of India would let Deshmukh know the details of what had transpired at the Conference.

Deshmukh wrote to Cyril Jones, Finance Secretary, Government of India, who in response merely forwarded an extract of the Finance Member's speech in the Legislative Assembly on March 17, 1943, on the subject. However, the Finance Member's speech referred to another conference of experts of the Dominions and India held in London in late 1942 where India had been represented by Sir Ramaswami Mudaliar (Member of the Viceroy's Executive Council) and Sir Theodore Gregory (Economic Adviser to the Government of India). At the April 5 meeting of the Central Board, Purshotamdas informally suggested that a copy of the preliminary discussion be given to the Governor to enable him to pass on to the Board such information as he considered appropriate.[10] When Deshmukh wrote to the Finance Secretary, he was told that this was impossible as that would amount to a violation of the pledge of secrecy which Gregory had taken. Purshotamdas remained adamant but Deshmukh did not pursue the matter.

Deshmukh notes in his memoirs how Taylor had sent him a copy of an earlier draft of the Keynes plan in mid 1943 to glance through and how his first impression was that it might prove inflationary. Taylor seemed to agree with Deshmukh. 'I agree with you about Keynes—a monetary quack preferring a monetary panacea of the worst inflationary type for what is fundamentally an international political problem. I will try to take the paper with me to Juhu over the weekend and think out a more or less polite reply'[11] Chandavarkar observes, 'Sir James's rather brusque dismissal of Keynes was perhaps nothing more than a typical bureaucratic reaction to an academic's nostrums.'[12]

The Bank formally received copies of the two plans towards the end of June 1943, and these were duly forwarded to the Central Board Directors and Local Board members. The Finance Secretary suggested that it would